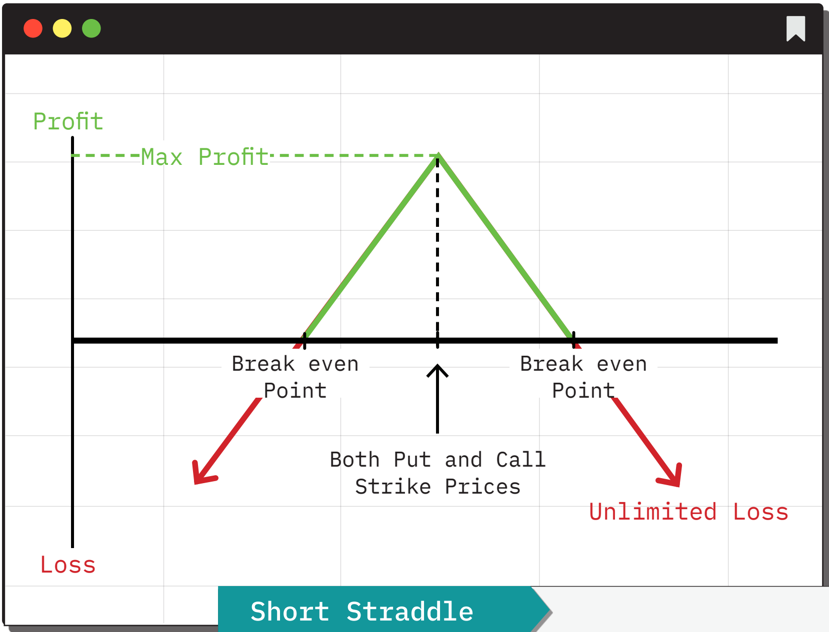

Short Straddle

A short straddle involves simultaneously selling of a call and a put option contract of the same strike price. A short straddle is a more commonly used options selling strategy as it is mainly used for collecting premium income during the times of a sideways market. The risk here is unlimited if the underlying asset moves sharply in either direction. This is why experience and skills are necessary for a trader to manage risk while selling a short straddle.

Now once you are familiar with straddles, let us talk about the VWAP indicator.